Solution

Ledger accounts

Dr. **Machinery Account** **Cr.**

Date	Particulars	₹	Date	Particulars	₹
2014			2014		
Jan 1	To Bank A/c	60,000	Dec 31	By Depreciation* A/c	8,500
July 1	To Bank A/c	50,000	Dec 31	By Balance c/d	1,01,500
		1,10,000			1,10,000
2015			2015		
Jan 1	To Balance b/d	1,01,500	July 1	By Depreciation A/c	2,700
			July 1	By Bank A/c	40,000
			July 1	By Profit and Loss A/c	11,300
			Dec 31	By Depreciation A/c*	4,750
			Dec 31	By Balance c/d	42,750
		1,01,500			1,01,500
2016			2016		
Jan 1	To Balance b/d	42,750	Dec 31	By Depreciation A/c (42,750 ×10%)	4,275
			Dec 31	By Balance c/d	38,475
		42,750			42,750
2017					
Jan 1	To Balance b/d	38,475			

* Note:

1. Computation of depreciation for the year 2014

Asset purchased on 1.1.14: 60,000 x 10% = 6,000

Asset purchased on 1.7.14: 50,000 x 10%x6/12 = 2,500 ₹ 8,500

2. Computation of depreciation on the asset sold on 1.7.2015

Original cost on 1.1.2014	= 60,000
Less: Depreciation for 2014 (60,000 x 10%)	= 6,000
Written down value on 1.1.2015	54,000
Less: Depreciation for 2015 upto 1.7.2015 (54,000 x 10%x6/12)	= 2,700
Book value	51,300
Sale price	40,000
Loss on sale of asset	11,300

3. **Depreciation for 2015 for the asset purchased on 1.7.2014**

Original cost on 1.7.2014	= 50,000
Less: Depreciation for 2014 (50,000 x 10%x6/12)	= 2,500
Written down value on 1.1.2015	47,500
Less: Depreciation for 2015 (47,500 x 10%)	= 4,750

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